

SWING TRADING

PART 1

DIFFERENT TYPES OF TRADING STYLES

1. INTRADAY / DAY TRADING
2. SWING /SHORT TERM TRADING
3. LONG TERM INVESTING

WHAT IS SWING TRADING

- Swing Trading is a trading style where traders hold positions for a few days to a few weeks to capture medium-term price movements (swings) in the market

Key Points

- Holding period:
- 2 days to 3 weeks (sometimes up to 1–3 months)

Goal:

- Capture medium-size price moves (not tiny intraday moves).

Charts used:

- 4-hour, Daily, WEEKLY charts

MAIN BENEFITS OF SWING TRADING

1. Less Screen Time
2. Lower Stress Compared to Day Trading
3. Higher Reward-to-Risk
4. LESS NUMBER OF Trades = LESS Mistakes
5. Sleep Without Stress

Understanding Order Types

Delivery Trading

- Purpose: Swing trading and Long-term investment.
- Holding Period: Shares are held for days, weeks, months, or even years.
- Objective: Benefit from long-term price appreciation and dividends.
- Settlement: Shares are transferred to your demat account after purchase.
- Selling: Can be sold anytime based on your decision.

Understanding Order Types

Intraday Trading

- Purpose: Short-term trading to capitalize on price fluctuations within the same day.
- Holding Period: Positions are opened and closed within the same trading day.
- Objective: Profit from small price movements.
- Settlement: No transfer of shares; positions are squared off by the end of the day.
- Selling: Must sell the shares before the market closes on the same day.

Understanding Market Structures and Chart Patterns

Market Structures:

- Uptrend, downtrend, sideways

Chart Patterns:

- Common patterns like head and shoulders, double tops and bottoms, triangles, and more

For swing trading :

- Inverse Head and Shoulder, Double Bottom, Triangle, Flag, Cup and Handle and Falling Wedge

SWING TRADING OPPORTUNITY AREAS



COMMON SWING TRADING STRATEGIES

A. BREAKOUT STRATEGY

Checking points

1. Identify a Strong Resistance Level
2. Breakout Candle Must Close Above Resistance
3. Volume Spike Confirmation
4. Weekly and Daily candles are the BEST time frames for swing-trade breakout Entries.

WEEKLY CANDLE – For Breakout Confirmation

- Weekly time frame gives strong, powerful, reliable breakouts.

Why Weekly is powerful:

- Big institutions create weekly breakouts
- Fake breakouts are very rare
- Gives the true direction of the market
- Works best for long swing trades (2–6 weeks)

WEEKLY CANDLE – For Breakout Confirmation

When to use Weekly

- To confirm major breakout levels
- To avoid traps
- To hold trades for longer duration
- When you want maximum accuracy

DAILY CANDLE – For Breakout Entry

- Daily time frame gives faster entries, after weekly confirms structure.

Why Daily is best for entry:

- Gives earlier entry than weekly
- Retest + rejection is clearly visible
- Shows breakout candle strength
- Helps place stop-loss tightly
- Better risk-to-reward ratios

DAILY CANDLE – For Breakout Entry

When to use Daily:

- To enter breakout trades
- To catch early momentum
- To set SL just below retest
- To manage the trade daily

Entry Trigger Rules

Entry Method 1: Breakout Close Entry

- Buy when breakout candle closes above resistance.
(Faster but slightly risky)

Chart Example



Entry Method 2: Breakout + Retest Entry (Best)

- Buy after retest + rejection candle.

(Safest & highest accuracy)

Chart Example



Entry Method 3: Trendline Break Entry

- After breakout, wait for minor trendline break.

(Great in volatile markets)

Chart Example



Technical Analysis and Entry Plan With Chart Examples

1. Stock selection
2. Support and Resistance Levels
3. Market structure
4. Chart patterns
5. Entry planning
6. Institutional Investment Analysis

Chart Examples



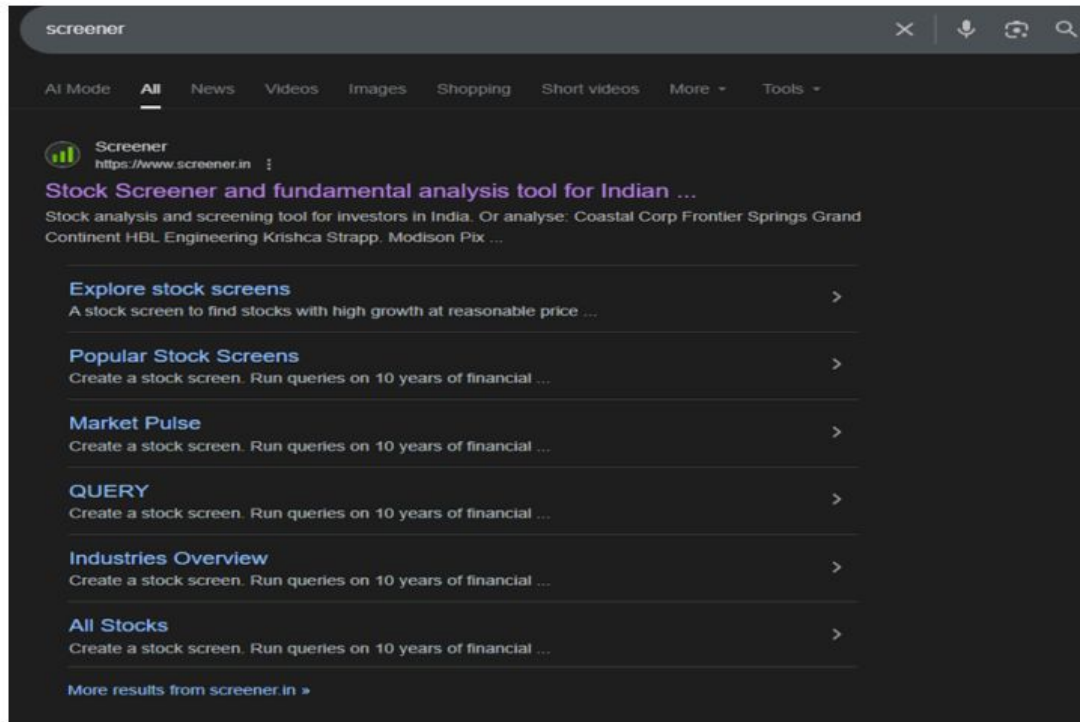


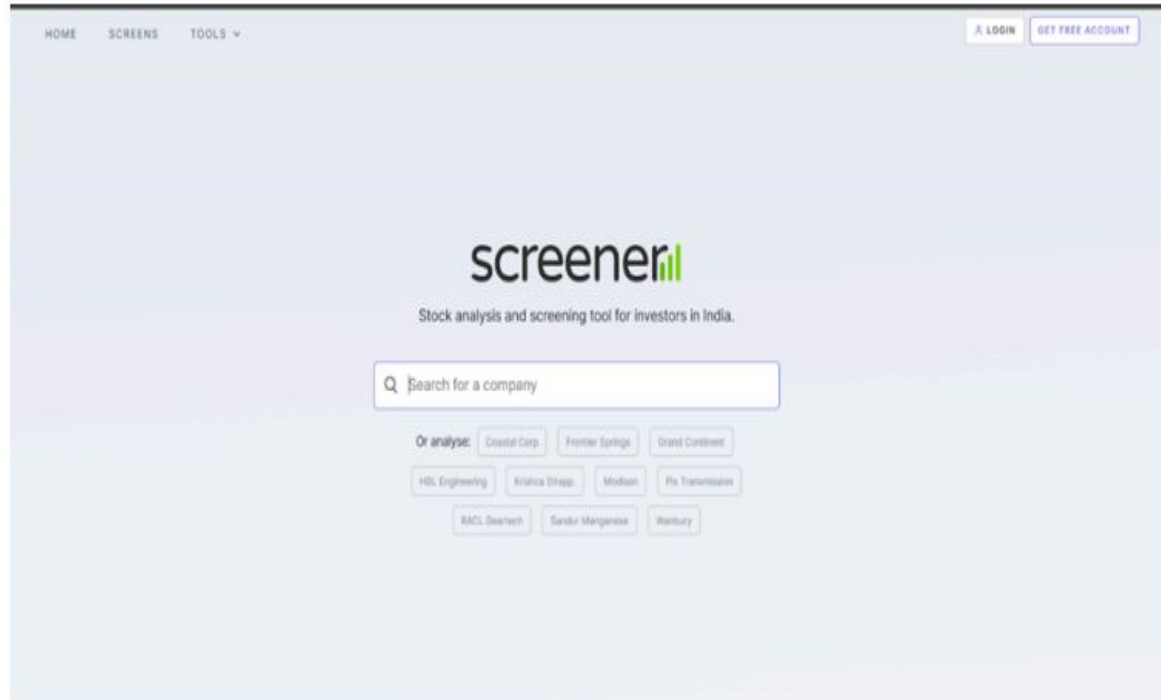


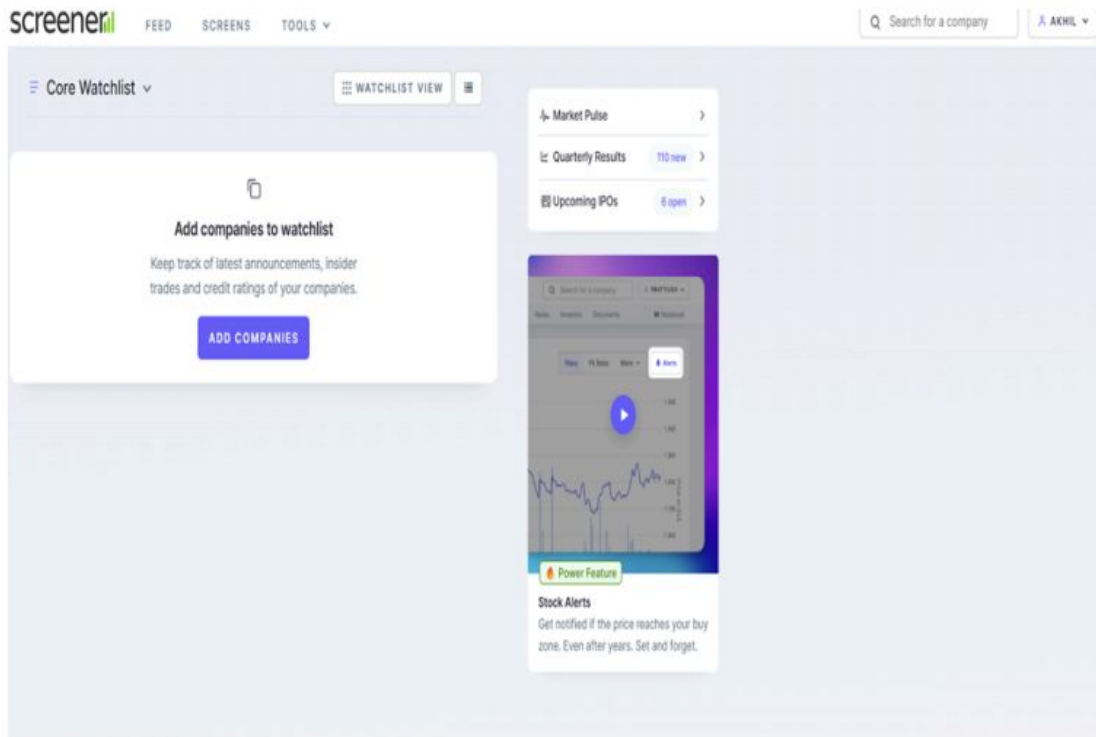


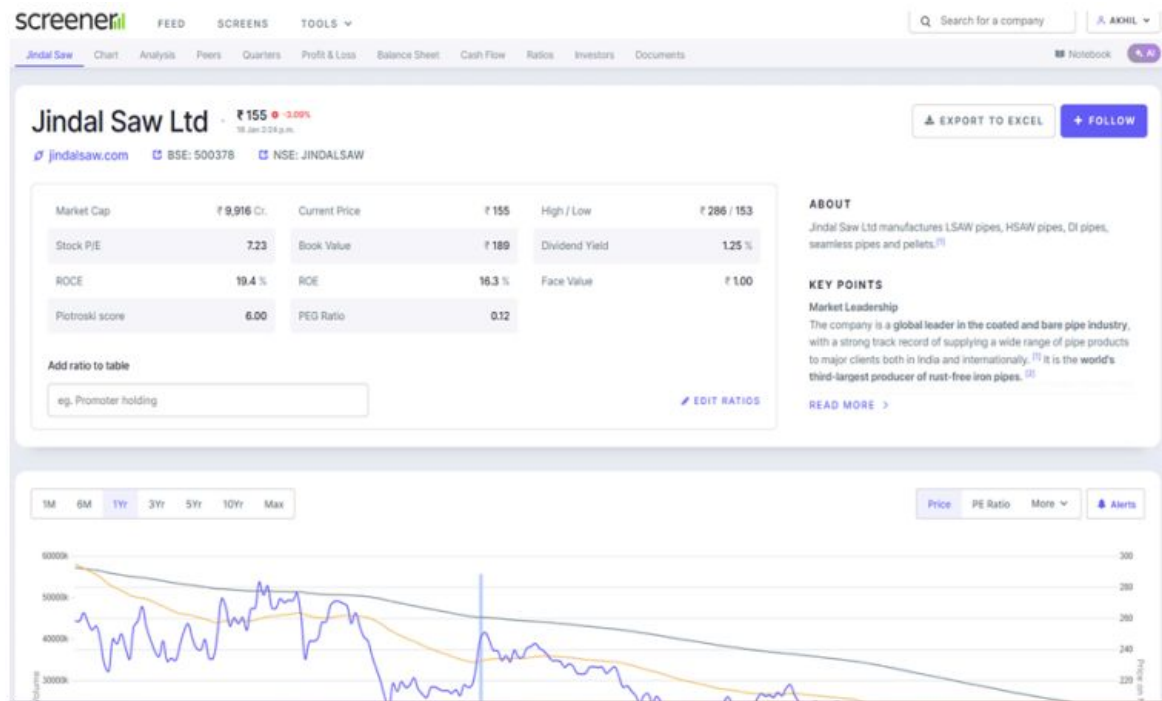




A screenshot of a web browser displaying the 'screener' website. The browser's address bar shows 'screener' and includes icons for back, forward, and search. The website's navigation bar has links for 'All Mode', 'All', 'News', 'Videos', 'Images', 'Shopping', 'Short videos', 'More', and 'Tools'. The main content area features the 'Screener' logo and URL 'https://www.screener.in'. Below this is a heading 'Stock Screener and fundamental analysis tool for Indian ...' followed by a description: 'Stock analysis and screening tool for investors in India. Or analyse: Coastal Corp Frontier Springs Grand Continent HBL Engineering Krishca Strapp. Modison Pix ...'. A list of six categories with right-pointing chevrons follows: 'Explore stock screens' (A stock screen to find stocks with high growth at reasonable price ...), 'Popular Stock Screens' (Create a stock screen. Run queries on 10 years of financial ...), 'Market Pulse' (Create a stock screen. Run queries on 10 years of financial ...), 'QUERY' (Create a stock screen. Run queries on 10 years of financial ...), 'Industries Overview' (Create a stock screen. Run queries on 10 years of financial ...), and 'All Stocks' (Create a stock screen. Run queries on 10 years of financial ...). At the bottom, a link reads 'More results from screener.in »'.



A screenshot of the 'screener' app interface. The top navigation bar includes the 'screener' logo, 'FEED', 'SCREENS', and 'TOOLS' with a dropdown arrow. On the right, there is a search bar with the placeholder 'Search for a company' and a user profile icon labeled 'AKHIL' with a dropdown arrow. Below the navigation bar, the 'Core Watchlist' section is active, showing a 'WATCHLIST VIEW' button and a list icon. A central white card prompts the user to 'Add companies to watchlist', explaining that it helps track announcements, insider trades, and credit ratings, with an 'ADD COMPANIES' button. To the right, a sidebar contains three links: 'Market Pulse', 'Quarterly Results' (with '710 new' in blue), and 'Upcoming IPOs' (with '8 open' in blue). Below these is a video player showing a stock price chart with a play button overlay. At the bottom right, a 'Power Feature' section titled 'Stock Alerts' describes a notification system for price targets.



Jindal Saw	Chart	Analysis	Peers	Quarters	Profit & Loss	Balance Sheet	Cash Flow	Ratios	Investors	Documents					Notebook	AI
Debtor Days				96	91	83	71	83	67	59	73	50	73	60	62	
Inventory Days				188	257	210	221	183	156	141	177	173	134	147	152	
Days Payable				67	77	42	39	42	88	74	117	71	98	89	78	
Cash Conversion Cycle				217	271	250	253	224	134	126	132	152	109	119	136	
Working Capital Days				52	26	30	37	42	12	-12	-17	-15	15	19	41	
ROCE %				4%	6%	4%	4%	7%	11%	10%	8%	9%	11%	21%	19%	

Shareholding Pattern

Numbers in percentages

Quarterly

Yearly

TRADES

	Dec 2022	Mar 2023	Jun 2023	Sep 2023	Dec 2023	Mar 2024	Jun 2024	Sep 2024	Dec 2024	Mar 2025	Jun 2025	Sep 2025
Promoters *	63.03%	63.25%	63.26%	63.26%	63.26%	63.27%	63.29%	63.29%	63.28%	63.28%	63.26%	63.25%
FIs *	11.03%	14.94%	15.92%	17.71%	15.22%	14.66%	15.06%	16.08%	15.73%	16.99%	15.12%	15.35%
DIs *	0.91%	1.20%	1.18%	1.67%	2.27%	2.99%	3.67%	4.54%	4.69%	4.40%	4.77%	4.35%
Public *	24.38%	19.98%	19.05%	16.79%	18.66%	18.60%	17.32%	15.65%	15.83%	14.95%	16.48%	16.69%
Others *	0.65%	0.64%	0.59%	0.58%	0.58%	0.48%	0.46%	0.46%	0.45%	0.38%	0.37%	0.37%
No. of Shareholders	1,05,756	85,839	83,048	92,000	1,16,181	1,19,422	1,37,358	1,48,683	1,72,209	1,74,189	1,87,168	1,96,760

* The classifications might have changed from Sep'2022 onwards. ⓘ

How Much to Invest

- To decide how much to invest in each stock for your ₹1 lakh Swing Trading capital:
 1. Diversification: Spread your investment across 4 to 5 stocks to minimize risk.
 2. Investment per Stock: Allocate about ₹20,000 to ₹25,000 to each stock.
 3. Risk Management: Only risk 1–3% of your total capital per trade, which is ₹1,000 to ₹3,000 per stock.

STOCK SELECTION METHODS

THANK YOU